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Developed Markets
North America

North America Rates Trade Idea

Alert: Taking profits on delta-hedged 15y5y/20y10y flatteners

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We initiated this trade on 5/9/2019 (US Rates Vol Lab: Trading long-dated convexity). We entered $50K DV01 of 15y5y/20y10y flatteners at -11.8bp, delta-hedged at each 20bp move in rates. We argued that this trade was a cheap way to buy convexity with only minimal negative carry at attractive curve levels. We then re-weighted the trade on 10/16/2019 to lessen the undesirable directionality of the curve with rates (Alert: North America Rates Trade Idea - Reweighting delta-hedged 15y5y/20y10y flatteners).

Our views have been largely realized. While the curve has been little changed (at -12.5bp at mid as of 2pm on 12/5/2019), increased realized volatility has generated the P&L of about $187K at mid. However, the carry on the trade has worsened recently to as low as -2bp/year. The ratio of the daily breakeven (the daily move in rates that yields a convexity gain offsetting a negative daily carry) to realized daily volatility has increased to just 0.8 (Figure 1). As a result, we prefer closing this trade at this time. We book +$155K profits net transaction costs. More attractive delta-hedged flatteners can now be found in GBP swaps. For example, the 15y10/25y5y GBP curve is trading at the upper bound of the historical range and carries positively (Figure 1). We add this trade to our watch list but don't initiate it yet.

Figure 1. GBP flatteners now offer better value and carry than USD

curve	10y10y/ 15y15y	10y10y/ 20y5y	10y10y/ 20y10y	10y10y/ 20y15y	10y10y/ 25y5y	10y10y/ 25y10y	15y5y/ 20y5y	15y5y/ 20y10y	15y5y/ 20y15y	15y5y/ 25y5y	15y5y/ 25y10y	15y10y/ 25y5y	15y10y/ 25y10y	20y5y/ 25y5y	20y5y/ 25y10y
USD															
curve ,bp	-6.77	-7.97	-11.33	-14.90	-14.99	-18.83	-9.18	-12.54	-16.11	-16.20	-20.04	-11.82	-15.65	-7.02	-10.85
1y ZS	**0.55**	**0.68**	0.43	**0.46**	0.13	0.37	0.12	-0.91	-0.37	-1.65	-0.42	-2.08	-0.54	-2.22	-0.89
3y ZS	**1.38**	**1.48**	1.28	**1.28**	1.07	1.20	0.98	0.70	0.76	0.52	0.70	0.38	0.58	0.02	0.13
ZS since 2000	**1.08**	**1.03**	**0.97**	0.95	0.80	0.80	0.71	0.64	0.62	0.49	0.50	0.27	0.25	-0.33	-0.29
1y carry, bp	-3.19	-4.16	-3.95	-3.95	-3.73	-3.82	-2.30	-2.09	-2.09	-1.87	-1.96	-0.77	-0.86	0.43	0.34
daily BE, bp	4.14	4.62	3.93	3.54	3.40	3.16	4.23	3.33	2.90	2.70	2.49	1.98	1.84	0.00	0.00
1y realized vol, bp	4.22	4.23	4.16	4.17	4.08	4.13	4.23	4.16	4.17	4.08	4.13	4.08	4.13	4.08	4.13
BE/realized vol	0.98	1.09	0.95	0.85	0.83	0.77	1.00	0.80	0.70	0.66	0.60	0.49	**0.45**	**0.00**	**0.00**
GBP															
curve ,bp	-7.25	-8.86	-10.12	-11.60	-11.43	-13.05	-7.01	-8.27	-9.74	-9.57	-11.19	-6.14	-7.76	-2.56	-4.18
1y ZS	0.40	0.35	0.50	0.50	0.59	0.53	0.60	0.70	0.64	**0.75**	0.64	**0.78**	0.65	**0.82**	0.64
3y ZS	1.28	1.22	1.33	1.36	1.41	1.40	1.32	1.44	1.44	1.52	1.47	**1.61**	1.51	**1.77**	**1.56**
ZS since 2000	1.27	1.20	1.36	1.53	1.51	1.69	1.34	1.61	1.85	1.78	**2.00**	**1.86**	**2.05**	1.53	1.54
1y carry, bp	-1.93	-2.45	-2.02	-1.92	-1.56	-1.64	-0.68	-0.24	-0.14	0.21	0.14	0.54	0.47	0.89	0.82
daily BE, bp	3.21	3.57	2.82	2.47	2.22	2.07	2.31	1.13	0.76	0.00	0.00	0.00	0.00	0.00	0.00
1y realized vol, bp	4.29	4.26	4.30	4.21	4.34	4.18	4.26	4.30	4.21	4.34	4.18	4.34	4.18	4.34	4.18
BE/realized vol	0.75	0.84	0.66	0.59	0.51	0.50	0.54	0.26	0.18	**0.00**	**0.00**	**0.00**	**0.00**	**0.00**	**0.00**

As of close of 12/4/2019. For each curve we calculate 1y, 3y and full sample (since 2000) z-scores. We also report 1y carry, daily breakeven (zero if carry is positive), and the ratio of the daily breakeven to realized vol. Three most attractive curves by each metric are marked in red. Source: Citi Research

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